

HOUSE BILL 51

By Keisling

AN ACT to amend Tennessee Code Annotated, Title 4;
Title 5; Title 6; Title 7; Title 9; Title 49 and Title 67,
relative to lottery tickets.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 67, Chapter 4, is amended by adding
the following as a new part:

67-4-2301. Part definitions.

As used in this part:

- (1) "Commissioner" means the commissioner of revenue;
- (2) "Department" means the department of revenue;
- (3) "Lottery," "lottery game," and "lottery retailer" have the same meanings as defined in § 4-51-102;
- (4) "Lottery ticket" means tangible evidence issued by the lottery to provide participation in a lottery game; and
- (5) "Share" means intangible evidence of participation in a lottery game.

67-4-2302. County entertainment tax — Rate.

For the exercise of the privilege of engaging in the business of selling lottery tickets or shares in this state pursuant to title 4, chapter 51, each county shall levy a tax at the rate of five percent (5%) of the sales price of lottery tickets or shares when sold at retail within the jurisdiction of the county. This tax is in addition to all other taxes imposed on a lottery retailer.

67-4-2303. Collection.

The commissioner shall collect and administer the tax levied by this part.

67-4-2304. Registration.

Each lottery retailer shall register with the department for the collection and remittance of the tax levied pursuant to this part.

67-4-2305. Remittance.

The tax levied under this part is due and payable monthly on the first day of each month, and for the purpose of ascertaining the amount of tax payable under this part, all lottery retailers making taxable sales on or before the twentieth day of each month shall transmit to the commissioner, upon forms prescribed by the commissioner, returns showing gross sales during the preceding month.

67-4-2306. Distribution.

Of the taxes received by the commissioner under this part, two percent (2%) must be allocated to the department for administration of this part. The remaining taxes must be distributed in the same manner as provided in § 67-6-712.

67-4-2307. Information sharing.

Upon request, the Tennessee education lottery corporation shall provide information to the department concerning lottery sales made by lottery retailers for the sole purpose of administering or collecting the tax imposed pursuant to this part.

67-4-2308. Rulemaking.

The department may promulgate rules in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5, for the implementation of this part and the collection of tax revenues under this part.

SECTION 2. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 3. For the purpose of promulgating rules and forms, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect January 1, 2026, the public welfare requiring it.